

Scenario 1: The Perfect Match

TAX INVOICE

Invoice Number	INV-001	Invoice Date	01-Jun-2026
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Supplier Details (Billed By) Name: Ganga Distributors GSTIN: 09BBBCB2345B1Z2 State: Uttar Pradesh (09)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: 09AAACA1234A1Z5 State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Branded Rice (25kg Bag)	1006	₹ 5000.00	₹ 125.00	₹ 125.00	₹ 0.00

Total Taxable Value	₹ 5000.00
Total Tax	₹ 250.00
Grand Total	₹ 5250.00

AI Diagnostic: Clean Invoice - Ready for ITC

This invoice perfectly matches the standard GSTR-2B entry. Local supply (UP to UP) correctly applies 2.5% CGST and 2.5% SGST. The trader can claim ₹250 in ITC without issues.

Scenario 2: The Wrong HSN Code

TAX INVOICE

Invoice Number	INV-104	Invoice Date	12-Jun-2026
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Supplier Details (Billed By) Name: Sharma Cements GSTIN: 27AADCS1234F1Z1 State: Maharashtra (27)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: 09AAACA1234A1Z5 State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Portland Cement	2520	₹ 10000.00	₹ 0.00	₹ 0.00	₹ 2800.00

Total Taxable Value	₹ 10000.00
Total Tax	₹ 2800.00
Grand Total	₹ 12800.00

AI Diagnostic: Mismatch - Wrong HSN Code

The supplier used HSN 2520 (Gypsum) instead of 2523 (Cement). Because the system detects a mismatch, the trader risks losing ₹2,800 in ITC unless the supplier amends this in their GSTR-1.

Scenario 3: Billed as B2C (Unregistered)

TAX INVOICE

Invoice Number	BILL-992	Invoice Date	05-Jun-2026
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Supplier Details (Billed By) Name: Agrawal Sweets & Snacks GSTIN: 09AAXCA8888Q1Z1 State: Uttar Pradesh (09)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: UNREGISTERED / BLANK State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Packaged Biscuits	1905	₹ 2000.00	₹ 180.00	₹ 180.00	₹ 0.00

Total Taxable Value	₹ 2000.00
Total Tax	₹ 360.00
Grand Total	₹ 2360.00

AI Diagnostic: Lost ITC - B2C Sale

The supplier did not enter the Kirana store's GSTIN. It was filed as a B2C (Business to Consumer) sale. This invoice will NOT show up in the trader's GSTR-2B, resulting in ₹360 lost ITC.

TAX INVOICE

Invoice Number	INV-773	Invoice Date	10-Jun-2026
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Supplier Details (Billed By) Name: Delhi Confectionaries GSTIN: 07DDDDDD5555D1Z7 State: Delhi (07)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: 09AAACA1234A1Z5 State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Premium Chocolates	1806	₹ 3000.00	₹ 0.00	₹ 0.00	₹ 500.00

Total Taxable Value	₹ 3000.00
Total Tax	₹ 500.00
Grand Total	₹ 3500.00

AI Diagnostic: Math Error - Short Tax Paid

Chocolates (HSN 1806) attract 18% GST (₹540). The supplier only charged ₹500. The portal will flag this discrepancy, and the trader can only claim what is filed, or it may trigger a notice.

TAX INVOICE

Invoice Number	INV-202	Invoice Date	14-Jun-2026
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Supplier Details (Billed By) Name: Local Cleaners Wholesale GSTIN: 09EEEE1111E1Z9 State: Uttar Pradesh (09)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: 09AAACA1234A1Z5 State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Floor Cleaners & Mops	BLANK	₹ 1500.00	₹ 135.00	₹ 135.00	₹ 0.00

Total Taxable Value	₹ 1500.00
Total Tax	₹ 270.00
Grand Total	₹ 1770.00

AI Diagnostic: Compliance Risk - Missing HSN

The HSN code is missing entirely. As per GST rules, HSN codes are mandatory for B2B invoices. This physical invoice will fail the AI reconciliation check against the structured GSTR-2B.

TAX INVOICE

Invoice Number	INV-088	Invoice Date	18-Jun-2026
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Supplier Details (Billed By) Name: Kisan Mandi Traders GSTIN: 09FFFF2222F1Z8 State: Uttar Pradesh (09)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: 09AAACA1234A1Z5 State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Loose Wheat (Unbranded)	1001	₹ 8000.00	₹ 0.00	₹ 0.00	₹ 0.00

Total Taxable Value	₹ 8000.00
Total Tax	₹ 0.00
Grand Total	₹ 8000.00

AI Diagnostic: Valid Exempt Invoice

Loose, unbranded grains are exempt from GST (0%). No ITC is available, but the invoice is perfectly valid and compliant for accounting purposes.

Scenario 7: Wrong Place of Supply (POS)

TAX INVOICE

Invoice Number	INV-412	Invoice Date	20-Jun-2026
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Supplier Details (Billed By) Name: UP Traders Corp GSTIN: 09GGGG3333G1Z7 State: Uttar Pradesh (09)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: 09AAACA1234A1Z5 State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Cooking Oil	1507	₹ 6000.00	₹ 0.00	₹ 0.00	₹ 300.00

Total Taxable Value	₹ 6000.00
Total Tax	₹ 300.00
Grand Total	₹ 6300.00

AI Diagnostic: Wrong Tax Type Applied

Both supplier and recipient are in UP (Intra-state). However, the supplier mistakenly charged IGST instead of CGST/SGST. The ITC claim will be rejected by the portal due to POS mismatch.

Scenario 8: Reverse Charge Mechanism (RCM)

TAX INVOICE

Invoice Number	LR-1090	Invoice Date	22-Jun-2026
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Supplier Details (Billed By) Name: Fast Track Logistics GSTIN: 09HHHH4444H1Z6 State: Uttar Pradesh (09)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: 09AAACA1234A1Z5 State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Goods Transport Services (GTA)	9965	₹ 2500.00	₹ 0.00	₹ 0.00	₹ 0.00

Total Taxable Value	₹ 2500.00
Total Tax	₹ 0.00
Grand Total	₹ 2500.00

AI Diagnostic: RCM Applicable - Action Required

This is a Goods Transport Agency bill. The supplier charges 0% tax, but the Kirana store is legally required to pay 5% tax directly to the government under RCM, and then claim it back.

Scenario 9: Wrong Tax Rate Applied

TAX INVOICE

Invoice Number	INV-333	Invoice Date	25-Jun-2026
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Supplier Details (Billed By) Name: Haryana Beverages GSTIN: 06IIII555511Z5 State: Haryana (06)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: 09AAACA1234A1Z5 State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Aerated Cold Drinks	2202	₹ 4000.00	₹ 0.00	₹ 0.00	₹ 720.00

Total Taxable Value	₹ 4000.00
Total Tax	₹ 720.00
Grand Total	₹ 4720.00

AI Diagnostic: Undercharged Tax & Cess Missing

Aerated drinks attract 28% IGST + 12% Compensation Cess. The supplier only charged 18% IGST (₹720). This severe mismatch requires immediate amendment by the supplier.

Scenario 10: Invalid Supplier GSTIN

TAX INVOICE

Invoice Number	INV-999	Invoice Date	28-Jun-2026
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Supplier Details (Billed By) Name: Fake Wholesalers GSTIN: 09INVALID123Z State: Uttar Pradesh (09)	Recipient Details (Billed To) Name: Lucknow Kirana Store GSTIN: 09AAACA1234A1Z5 State: Uttar Pradesh (09)
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S.No.	Item Description	HSN/SAC	Taxable Value	CGST	SGST	IGST
1	Stationery Items	4820	₹ 1000.00	₹ 90.00	₹ 90.00	₹ 0.00

Total Taxable Value	₹ 1000.00
Total Tax	₹ 180.00
Grand Total	₹ 1180.00

AI Diagnostic: Fraud/Typo Alert - Invalid GSTIN

The supplier GSTIN is structurally invalid. It does not follow the 15-character PAN-based format. This invoice cannot be matched with GSTR-2B and the ₹180 ITC is completely invalid.